The Nigerian Industrial Behemoth That Could Reshape the African Economy

Podcast: Odd lots

AI Executive Summary

1. Core Thesis: The episode argues that Africa's economic development is fundamentally driven by its massive demographic expansion and rising urbanization, rather than solely by resource abundance or political stability. Economic growth in the continent is demand-driven, fueled by a population reaching 1.5 billion people today with density comparable to Europe in 1500 or Asia in 1960, creating critical urban markets for infrastructure. While microcredit and small businesses absorb employment, true productivity gains and industrialization require large-scale companies that can act as vocational training centers and secure supply chains, supported by strategic government policies regarding capital controls and private sector incentives.

2. Key Arguments & Data:

3. **Dengote Refinery IPO:** Aliko Dangote secured $400 million ahead of the planned IPO, with an additional $1 billion in backing, positioning it as the biggest stock market listing in African history and providing access to a high-quality industrial asset package.
4. **Population Density & Markets:** Africa's population grew from 220 million post-WWII to 1.5 billion today; Lagos alone accounts for 20% of Nigeria's economy despite being a chaotic urban environment, generating fiscal surplus comparable to the density model used in Asia.
5. **Big Companies vs. SMEs:** While microcredit absorbs unemployment, big firms are necessary to move the needle on productivity. Companies like Dangote and Bacreza provide cash flows to train labor and enable capital-intensive manufacturing that small businesses cannot support.
6. **Manufacturing as a Growth Engine:** Manufacturing is special because it allows for entry-level labor (literacy/numeracy only) to enter the urban economy, unlike high-value services which require expensive education and government subsidy. Indiaâ€™s lack of serious manufacturing strategy correlates with slower growth (4.2% avg since 1991) compared to China's 30 years at 10% growth supported by manufacturing.

7. **China's FDI Shift:** Chinese firms are shifting focus from low-value-added goods toward capital-intensive and green energy products, investing $12.5 billion in African manufacturing last year. A key driver is margin expansion; steel sells for ~$500-600 per ton in China but ~$1,000 per ton in Africa due to higher local consumption margins.
8. **Labor vs. Robotics:** Labor costs in developing countries (e.g., Madagascar at ~$60/month) are significantly lower than mid-90s China. Robots are expensive sunk costs with limited flexibility, whereas labor hiring is quick and adaptable to demand.
9. **Capital Controls:** Most African countries removed capital controls on IMF/World Bank advice to attract consumer banking and foreign banks, leading to debt accumulation without industrial support. Conversely, Rwanda aims for Singapore-style openness (no capital controls) while Ethiopia has effectively moved toward China's model despite public claims otherwise, utilizing controls to keep domestic savings for industrial policy.

10. **Political & Institutional Resilience:** Despite internal conflict in Ethiopia (civil war), economic growth has continued at 5-6% through institutional capability and private sector adjustments, though political instability remains a long-term risk as ethnic groups now compete for scarce resources due to population density.

11. Actionable Takeaways:

12. **Investment Focus:** Prioritize investment opportunities in large-scale industrial companies with the cash flow capacity to drive productivity (e.g., refining, fertilizer) over micro-financing projects designed only for small business employment absorption.
13. **Policy Research:** Investigate capital control strategies; observe how emerging nations like Ethiopia are shifting from open financial markets toward controlled models to protect domestic savings for manufacturing investment.
14. **Market Analysis:** Recognize that future export growth in Africa will likely be driven by intra-African trade due to regional density and logistics, particularly benefiting countries near North Africa borders (Morocco) or high-density urban centers like Lagos.

15. **Strategic Planning:** Acknowledge the labor market advantage over automation; favor business models utilizing flexible local labor rather than high fixed costs for robotics in developing markets unless scale demands high precision.

Full Transcript

Our hometown is not a test tube. 90 miles northeast of Nashville, a battle for the future of America plays out in one small town. Developers with right-wing ties have purchased hundreds of acres of land. We need cities on a shining hill. This is Our Town, a podcast about what happens when a small town becomes the site of a social experiment and fights back. I guess you didn't move in on a bunch of dumb hillbillies now, did you? Listen to Our Town on the iHeart radio app. Apple podcasts or wherever you get your podcasts. Hello, OddLods listeners. I'm Joe Wiesenthal. And I'm Tracy Allaway. We're the hosts of the OddLods podcast, and we've got something exciting for you.

That's right. So one of the best parts of hosting our podcast is we get to actually meet and interact with our listeners. And we know we have some listeners over in Los Angeles. That's right. So if you're in LA, we're going to be recording a live show, some live recordings at the Vermont Theater in Hollywood on September 17th. We have some really exciting guests lined up. have some really great conversations plans. So go ahead and get your tickets. You can find those over at Bloomberg.com forward slash odd lots or click the link below in the show notes and come and say hi when you're there. Hello and welcome to another episode of the odd lots podcast. I'm Joe Weisenthal and I'm Tracy Allaway. I don't know what it is, Tracy. I kind of have this urge to do a Africa trip. Like I sort of want to go to get some of these capitals, Lagos, Akra, Kigali, and so forth. I don't know. I've never been there, and now I'm kind of curious. Well, the urge to explore Africa is well documented among the history of white men in particular, Joe. So really, you're just following your instinct here, I guess. That's right. Yeah. I've been to Africa, various places. Morocco, Egypt.

Tanzania, Mozambique, South Africa briefly. I have some insane stories I could tell you. But probably the one thing that stands out to me is the diversity of that particular continent, obviously. So Egypt is very, very different to a place like Mozambique. And I will say, you know, like I saw some, a lot of development in places like South Africa, Egypt to some extent, Mozambique was one of the poorest places I've ever seen in my life

to the point where A lot of people don't even want money. They would just barter for goods like an extra t-shirt in your luggage or something like that It is pretty extraordinary just generally, you know I think though is if you had gone back 50 years ago or something like that You would have had this view that you know countries around the world over time Converge economically particularly in a world of free trade the factories chase the countries that have the cheapest labor etc And therefore, everyone in a world of free trade, you get this broad growth and wealth. But the extremes of outcomes over the last several decades has been truly extraordinary. Absolutely. So you have places like Nigeria, like Lagos, I think you mentioned, which seems to some extent be booming at the moment with higher oil prices. You have a very, very big IPO coming down the line. Yes. So this is what I'm particularly interested in.

Um, we had a, I met a listener, um, a producer, well I met a doc some when we were in London a couple of years ago and he was like, oh, you guys really have to do an episode on this new oil refinery that's being, that's being built in Nigeria. We, and I said, anyway, this is for him. I hope he's listening at this point because- It took two years, but we're doing it. We're doing it because we do, there's the news today that, um, Dengote refinery, or sorry, the news this week, we were recording this August 20th, came out earlier in the week that they had secured 400 million ahead of planned IPO, that there is one billion in backing from a few other firms, and also that the founder of this company, he's also, I believe, you know, he's one of the richest people in the world. And I don't think Dengote is any we're close to being a household name. No. And it's going to be the biggest stock market listing in African history ever. So we should definitely talk about it. And I think it's good to talk about it in the context of why development in Africa has or hasn't happened in certain cases? Absolutely. Well, I'm very excited to say we really do have the perfect guess. Someone we've never talked to on the podcast before, but it was probably an error because someone who's out writing and thinking has been very influential to people of our cohort over the last several years who are interested in things like industrial policy and so forth. We are going to be speaking with Joe Studwell, Senior Fellow at the Africa Urban Lab, Senior Visiting Fellow at ODI Global, and the author of the recent book, How Africa Works. And of course, many readers may have read his previous book, How Asia Works, talking about how

some of these East Asian economies got as wealthy as they did. So Joe, thank you so much for coming on all of us. Oh, well, thank you for having me. Let's start with the simple question. What is this company, Dengote, and who is the founder?

So, Aliko Dangote is from Karno in the north of Nigeria. He's a Muslim trader, archetypal Muslim trader. He grew up trading soft commodities, got a substantial business doing that, and then he went under the presidency of Obasanjo. to the government and negotiated a deal where he'd get four years of protection as a monopoly importer of cement which was not then made in Nigeria in return for creating local cement production and he did that. But not only did he do that, he went on to do it across Africa. He's in a dozen countries doing cement now and he's beaten in most places the multinational cement producers like the the Swiss wholesome and whatever who did who previously dominated the business. So that was the first thing that he did that people really kind of sat up and said, wow, this guy has got something. And then he decided he'd do something much bigger. And he decided he would build an oil refinery in a country where a couple of times previously government had tried to develop refining capacity. And it was just a disaster, an industrial policy disaster. Dangoiti did it. He spent 20 billion. It's east of Lagos, a huge, huge plant. And it worked. It is working. And not only that, he's expanding it now. So in the course of doing that, he became the richest guy in Africa. But he doesn't stop because he's developed such capability in terms of project management and project delivery that he just goes on to other things. So next to his oil refinery is a very large urea plant, fertilizer plant, which is now supplying the majority of fertilizer consumed in Nigeria. And he's recently signed up to do the same thing in Ethiopia, the second most populous African country.

after Nigeria. And yeah, he just keeps rolling forward. And so this listing I think will be pretty heavily oversubscribed because it's investor access to the first real quality listed industrial asset pack on the continent. I have a, this is just a sort of tangential question, but you mentioned that he was first in cement production. Why does cement production seem to be such a thing in developing nations in particular, such that if you go to a place like Nigeria or like Myanmar, you will see a lot of ads for different cement brands and it feels like everyone is producing cement. Yeah, because it's so

fundamental to development. I mean, development is about investment, construction, creation of physical assets, and so cement is just absolutely fundamental. Okay, a serious question now then. So what does the Dengote example actually say about, I guess, the diversification?

prospects for Africa. Because when I think, okay, it's a petroleum refinery, you know, urea production, that's kind of industrialized, but it's also very connected to resources, right? And we've all heard about the resource curse. We know that various African nations have experienced it to some extent throughout time. So how much of this is actually an industrial success story versus like kind of more of the same? I would say it's different to what we saw in the past in Africa. So Africa has a reputation of having tons and tons of hydrocarbons and minerals resources. It's not really true actually. We just perceive Africa that way because in the past there wasn't much other economic activity. So it seemed like minerals and hydrocarbons were dominant. But if you compare it.

with somewhere like the United States and you look at what African countries have got is nothing like the mineral and hydrocarbon resources as a share of GDP. So I would say that it's different to what we had in the past because you look at all of dango taste businesses and it's really a demand driven story and what I mean there is that the growth of. population and the growth of population density in Africa is now creating markets, particularly urban markets of a type that we just didn't have before. And so you build your cement plants and the demand for what you're producing is just massively greater than it was in the past, the same for refined oil products, the same for fertilizer.

Africa as a continent now has 1.5 billion people. That's about the same population density as Asia in 1960. So it's still not very densely populated, but it is when you compare it with immediately after the Second World War when Africa had 220 million people. So it's gone from 220 million to 1.5 billion. And when after the Second World War, Africa had 220 million people, that was the same population density as Europe in 1500. And that, to me, is the fundamental reason why you didn't have a lot of economic growth. How does population density per se play an important role in a country's capacity to industrialize? Yeah, I mean for all the reasons that you

would expect, I've already talked about markets, you've got to have markets for what you're going to produce. Particularly urban markets are very important, urban markets are also important because cities produce most of the tax that is paid in any country. Then you've got to think about infrastructure. Every society requires a lot of investment in infrastructure.

the cost of infrastructure is determined fundamentally on a per capita basis or its affordability is determined on a per capita basis. Until you've got the people, you're not going to be able to afford it. And then there are questions of division of labour. When you get concentrated populations in cities, you get much better division of labour, much greater specialisation, and in turn, you get much greater creativity. So the famous statistic that's always rolled out is that 80% of GDP around the world is created in cities. Even though they don't occupy that much physical space. In the Africa book, I use the example of the UK where one city, London, generates 70% of the UK's. fiscal surplus you have london and the southeast region of the u.k. the only two parts of the u.k. that produce a fiscal surplus seven other regions of the u.k. are all in fiscal deficit and essentially a subsidized by the the most densely populated part of the country. Our hometown is not a test tube.

90 miles northeast of Nashville, a battle for the future of America plays out in one small town. Developers with right-wing ties have purchased hundreds of acres of land. We need cities on a shining hill. This is Our Town, a podcast about what happens when a small town becomes the site of a social experiment and fights back. I guess you didn't move in on a bunch of dumb hillbillies now, did you? Listen to Our Town on the iHeart Radio app, Apple Podcasts, or wherever you get your podcasts. Are there limits to the population density thesis? Because I take the point, and again, if you think of Africa, it is absolutely huge and we can get into some of the geographical limitations later on and populations are relatively scattered. But thinking back to the Nigeria example, Nigeria population has been one of the denser

populated areas on the continent for a while, but it has actually, I think, underperformed relative to a lot of other countries. So what does that say about the importance of population density? So you're right. Nigeria is about 250 people per square kilometer, which is significantly higher than

the African average today. I wouldn't say though that it has overall underperformed in the period since 2000 when the whole African economy has picked up. Nigerian agriculture, which is the thing I would expect to show growth first as population grows because when poor people will just eat more. I mean, that's the first thing they do. They consume more in the way of foodstuffs. Nigerian agriculture since 2000 has been growing close to 6% a year.

that's faster than anywhere that I'm aware of in Asia, faster than someone like China. So things are moving, they're not moving crazy fast because Nigeria is a pretty dysfunctional country at the level of its politics and organizationally, but within it there are places that are moving fast already. And you already alluded to Lagos, which is the city of 14 million people, which already accounts for a fifth of the Nigerian economy, just this one city. And it's the most densely populated part of a densely populated country. And although when you go there, you think, oh my God, this is just mayhem. But the fact is that an awful lot is getting done. You know, whether it is in terms of Alik Odan Gorty's industrial development, whether it's in terms of infrastructure construction, whether it's in terms of the Nollywood film industry or the Nigerian music industry that dominates the continent. It's chaos, but it's productive chaos. You know, I remember...

Twenty five years ago you would read these things and they would say the importance the key to economic development is. Micro credit and small businesses and someone don't get a loan on their phone and then they buy a cow or a tractor etc can you talk about the importance of. big companies in economic development, the flip side of that. How rare is a company like Dengote compared to other potential industrial peers in Africa? And why is the size itself a reason to think that this could have positive flywheel effects? Outside of South Africa, where obviously you have a much more mature economy and so higher revenues in big companies, Dangoti is pretty unique, but Dangoti doesn't stand alone in the sense that you see in different African countries the growth of significant numbers now of companies that turn over billions of dollars a year. So this is small change in terms of US multinationals, but it's previously unheard of in Africa.

quite a lot of these companies originate in agriculture in one way or another. They often are the manufacturing end of agriculture. So they process foodstuffs to produce processed foods, which is what Africans are now consuming instead of milling their own corn or whatever at home. And then they go on and they do other things. So there's a big firm, for instance, in Tanzania called Bacreza, comes out of milling, moved into milling and about seven or eight different African countries. But now it's doing everything from owning a football club to owning a TV station to real estate to running the boats out to Zanzibar, all of this stuff. So that part of the question and the answer is that we are seeing the growth of bigger companies in Africa. So then why do we need bigger companies? We need them for the same reason you need big companies in every economy.

because only big companies have the cash flows to really be able to train people and move the needle on productivity. Alright, so you're right. There's a huge amount of attention is paid to SMEs. It's not necessarily wrong, but when people talk about SMEs, it's an employment consideration. They employ people. They soak up a lot of unemployed people. But if you want to move the needle on productivity, you need big firms. So the animal economic paradigm that we're most used to discussing on odd lots is monkeys swinging from trees per Ricardo Houseman's theory. But there's another one that you mentioned in your book, which is the flying geese paradigm. Would something like that apply to Africa in its current state? Do you see any evidence that industries are sort of trading up as countries actually advance and develop? Yeah, I think that the clearest evidence of of the evolution of big firms is in the two most popular countries at the moment in Nigeria and in Ethiopia and you know some countries are gonna have to lead first in Africa as they did in Asia and the flying geese thing will ultimately prove to have some truth as it did in Asia is just the time frame.

tends to be rather longer than the people who come up with these theories imagine. So for instance, Cambodia now has a pretty large garmenting sector employing millions of people. But it did take about 60, 70 years for that to happen. What do we see in terms of what we would call moving up the manufacturing ladder? Do we see things that we would call you know the story was for years in China it's like okay they make a million um t-shirts and that gets them like one bowing plan or something like that and

then eventually they make more advanced things and they can import more bowing plans do we see that evidence currently of just the increased ability to do reasonably complex uh reasonably complex assembly Yeah, we do. We don't see it as across 55 countries in Africa, but we do. I mean, I've talked about Dangoti proving that he can do three. Cement's not uncomplex. Fertiliser quite complex. You've got to work with gas. It's not just a straightforward manufacturing process. And oil refinery is unbelievably complex.

And you do see signs of similar things in other countries. Again, to go to Ethiopia two, three weeks ago, I was standing in what will be the first float glass plant making regular modern glass used in windows and whatever. So countries are moving forward in that respect. I mean, one observation I'd make in Africa is that governments tend to remain so weak that the private sector has to do more heavy lifting than it ever had to do in Asia where you had developmental states with governments providing tremendous support to the private sector. You tend not to get that. In Africa, often the private sector is the most competent capable player in the game. But again, it's demographics. We have to hope that the depth and quality of African governments will improve. And in theory, it should do so with thicker, denser populations because that means that you've got bigger cities and you can raise more tax. And more income is what a lot of African governments need to enable them to do more things. Our hometown is not a test tube.

90 miles northeast of Nashville, a battle for the future of America plays out in one small town. Developers with right-wing ties have purchased hundreds of acres of land. We need cities on a shining hill. This is Our Town, a podcast about what happens when a small town becomes the site of a social experiment and fights back. I guess you didn't move in on a bunch of dumb hillbillies now, did you? Listen to Our Town on the iHeart radio app, Apple Podcasts, or wherever you get your podcasts. So you mentioned being in Ethiopia a couple weeks ago and I'm very curious how much time you're spending on the ground in the region now. And I feel like we should allow you to maybe provide a bit of context here because a lot of people will know you from how Asia works, which was this, you know, now it's a seminal book, but when it came out, it was kind of out of consensus. Yeah.

And then suddenly you're turning your attention to Africa. What's going on here? Why the transition? Well, what happened?

a while ago back in about 2018. So I mean the first thing that happened was that the Ethiopian and Rwandan governments invited me to go out and see what they were doing and I said it's very flattering that you're inviting me but I don't know anything about Africa so there's no point and they said no no no we want to talk about Asian development policy. So I went and I saw things that I thought were genuinely interesting and impressive And then subsequent to that, I met with Bill Gates, who was a fan of how Asia works. And at the end of that meeting, he said, oh, what I really want to know is what you think about Africa, because that's where I'm spending all my money. And I decided then that I would do the book that came out this year. So I haven't been everywhere in Africa. I've worked so far in about 15 countries. I don't go and spend my time in.

in what you might call failed states, because it's not the nature of my work. My work's about economic development and progress. But I have thoroughly enjoyed what I've seen so far. And yeah, and I'm reasonably positive. I mean, I'm not crazy positive, but I'm more positive than a lot of people are, I think. Well, can I just ask you a process question? Because if someone If someone ever, they wouldn't, but if they ever came to me and said like, I don't think so. We want you to write a book about Africa, which is a very big place that I admittedly know nothing about. I would be incredibly intimidated about starting that research process and just editing basically the history of economic development in all of Africa down to a consumable publication.

how did you decide what your research process would look like and how did you decide which things to tackle versus others? Because it's huge. It's a huge amount that you just took on. Yes. The process in the beginning was to decide what to leave out. You've got 55 countries and I whittled that down to 15 that I thought were important and would tell the reader enough about the continent as a whole and of course that then. makes the work a bit more manageable. But I knew that it was going to be a huge task and I did it as my main occupation over a period of five years. It took a long, a long time.

One of the debates that's been going on that I see I mean part of you know like obviously like the Asia stuff is just very hot right now people you see the booming You know the booming Chinese economy the booming Korean economy Etc something that I'm curious to hear your take on is one of the things people are saying is that China's Manufacturing dominance its absolute efficiency gains etc are sort of depriving other parts of the world from having climbed the same ladder. That, for example, China, yes, it can make some of the most advanced chips in the world, but there might still be an entire city that's devoted to making Christmas tinsel or something like that. And this is the extremely low margin types of manufacturing that historically might have been the first seeds of a more complex ecosystem in another country. But on the other hand, and some some of this comes through in your book you could argue that some of the gains that we are seeing and some of the encouraging african success stories are in part thanks to cheap inputs from china i'm thinking like fertilizer and probably cheap machinery etc that allows for improving agricultural um productivity, which in your view is very key. Why don't you talk to us like your take on the relationship between the incredible gains we've seen in Asia and China specifically and the implications therefore for African prospects right now? Yeah. So first of all, I think that there's people tend to perceive China as continuing to export absolutely everything that it's ever made. But if you look at the trade data for China, what you see is that China is actually exporting less and less of the low value added stuff that it began with. And quite a lot of that is going to places like Cambodia, which I just mentioned. What China is really exporting at the moment is things like electric vehicles and other green energy products that are much more sort of cutting edge and capital intensive in terms of what it did in the past. So if Africa is competing against Garmenting exports, for instance, it's much more competing against stuff coming out of Myanmar, out of Cambodia, out of Sri Lanka, out of India.

So I think that Africa is capable of doing that. Its main problem is that it doesn't have much commitment from government to developing manufacturing sectors outside of, to an extent, Nigeria and Ethiopia, which has always had that commitment, Morocco to an extent as well, and then one or two other enclaves in places like Madagascar. And Africa needs to build that up. I think that telling Africans that they're not going to succeed

in manufacturing is very dangerous and very bad advice. I absolutely think that they can succeed in manufacturing and the places that I've seen them manufacturing, they seem to be doing fine. I don't buy into the idea that there's been a change or there is an ongoing change now based around robotics and AI. That means that there will be no manufacturing development in Africa.

You'll write that some cheap inputs from China have been helpful to development in Africa. But the thing I would emphasize much more than that that's come from China is large amounts of manufacturing investments. So if you look at the FT's micro database of FDI for last year, China put 12.5 billion into manufacturing investments in Africa. And if you then dig into like, why are they doing that? The answer is usually because they can get better margins manufacturing in Africa, particularly for African consumption than they can in China. I mean, an awful lot of manufacturing in China today has very, very low margins. So Chinese money is looking, you know, steel is one example. Steel in China at the moment sells for about five to six hundred dollars a ton.

in Africa, it sells for about a thousand. So unsurprisingly, a number of Chinese firms have relocated steel mills to Africa. There's one in Zimbabwe. There's one in South Africa. There's one in Algeria. And there's one that's just been signed in Ethiopia. And it's all about margins in the end. And then Chinese firms also investing widely in all kinds of other businesses, ceramics. you know, to produce bathroom staff that's consumed in vast quantities in developing countries, all sorts of things. So I don't buy the idea that there's this paradigm change in manufacturing. And I think the final point there I would make is that, you know, when you get conversations about robotics and AI and the effect on manufacturing, They tend to never introduce the question of cost. So robots cost a lot of money. And they are also a sunk cost that when you buy them for your factory, you pay for the whole thing up front. On the other hand, in Africa at the moment, someone like Madagascar, you can get labor for 60 a month. What it cost in China in the mid-90s not adjusted for inflation.

My feeling is that any manufacturer who can make use of labor instead of paying upfront for robots is likely to continue to do so. Not least again,

because people don't talk about the inflexibility of robots. They can do a certain amount. When your demand goes up, you can't turn the speed up on most robots in factories. They continue to do the same amount. You've got to get new robots, but that's not quick. Whereas when you need to hire and fire labor, that is very quick in developing countries. So I have a bunch of questions, specific questions on Africa's manufacturing potential. But just a step back question first, you emphasize the development of manufacturing as like this important step in the growth of an economy. And you do this both in how Asia works and how Africa works.

Explain what it is that seems to make manufacturing in some sense special when it comes to economic development. And could you ever have a situation in Africa where, I don't know, maybe a government is like, I don't want to mass produce a bunch of toilet ceramics. I want to leapfrog ahead to a service industry and just start there. Yeah, so what makes manufacturing special is that you can take people usually out of the rural economy out of the farm economy and bring them into the modern urban economy and You can do that with relatively low levels of education They just need to be numerate and literate and they're in a factory and then they largely learn on the job and factories become the kind of vocational training schools for developing economies. So the whole process is affordable to the developing economy. The problem that you have when you want to jump into value-added services is that value-added services almost always require a higher level of education and training. So who's going to pay for that? The person who's coming out of agriculture hasn't got the money to pay for that. So the government's going to cut with the money?

The government's not going to have the money because, definitionally, it's the government of a poor country. And the best example really to look to is always India for where you go with value-added services because of the Indian Institute of Technology, the history there. They've always had a supply of highly trained tech graduates who allowed entrepreneurs to build very successful IT businesses. But that IT sector in India still only employs about 6 million people. It's just nothing compared with the employment generated by manufacturing. And then you look at the overall impact on growth in India, which has never really had a serious manufacturing strategy, although Modi talks it up at the moment, but he's never really had

one. If you look back to the period since 1991 when India's reforms began, India's grown at 4.2% a year average. If you look at China, which really maxed out support for manufacturing, that's an economy that grew for 30 years at 10% a year. That to me is the difference. And so I often say to People in countries like Nigeria and Ethiopia. Well, you know what you want to be do you want to be India or do you want to be something more like China?

I'm curious, like, you mentioned that one of the issues is that the sort of, like, the developmentalist mindset, as you understand it, or the optimal developmentalist mindset, is unevenly distributed throughout Africa. So there are leaders who might want to talk to you about, like, well, what is a realistic way in which we can develop along the East Asian path and then others not? When you look at the uneven distribution of this, is this just about, like, some people have different opinions or is this about like there is something endemic to the politics in certain countries such that whoever is going to be the person that winds up in the seat, winds up as president and so forth is maybe going to be more likely to fundamentally say oh their political allegiance to say medium-sized farms or something like that such that the developmentalist approach is going to be off the table because that is not the politics out from which they come. Well, I have never managed to get data to sort of nail this down very well, but my personal view is that endemic to the politics of Africa is that politics in Africa are particularly aristocratic. So you particularly have leaders and the people around them who are aristocrats with all the kind of...

prejudices that go with that. They don't like small farmers. They're like big farms. They're not terribly interested in manufacturing. It's kind of sitting my office away for people to come to me. That has been to me the reality and the tradition. But I think that what is also very important is what economists call demonstration effects count for a lot. And that as countries see places like Lagos or economies like Ethiopia moving fast. Ethiopia has not grown less than 5% for 25 years now. It was the poorest country in the world. That's why it's taking a long time to get on the radar. When you're 100 bucks GDP per capita to start, the maths are pretty ugly for a long period.

it's still growing 10% a year and it's at a couple of thousand dollars. So that makes some difference. But the point is that when people see what's going on in these countries, as was the case in East Asia, when people first saw what was going on in Japan and subsequently saw what was going on in Korea and Taiwan, it makes a difference. It becomes a self-reinforcing positive spiral. Since you brought up Ethiopia, Well, your book came out earlier this year. Before, I think it was in 2020, Ethiopia, there was a civil war that broke out in Ethiopia. So I'm curious how you think of the relationship between economic development, the Ethiopian economic success story versus political stability. Because I imagine, had you maybe written this book in 2019 or something like that, You already hold out Ethiopia as a success story in the current version, but maybe it would have been even more of a success story before the Civil War. To be honest, I mean, the remarkable thing is that the policy tracks that were laid in Ethiopia prior to the Civil War, combined with some adjustments and more opening to the private sector that's come under RB the current PM, have just meant that the economy kept growing five, six percent through the Civil War.

So, you know, that is that's what happens when you build institutional capability and you get the right policies in place. But it's a fact of life in Africa. And again, it goes back to demographics that ethnic cleavage is present in pretty much every society on the continent, right? Because historically, population was so sparse in Africa that different tribal for one to a better term, groups. It seems from what historians can make out, come into conflict very much because whenever conflict was brewing, one group or the other would just take off and there was always more land available. There was always massive amounts of land for people. And so all these thousands of different groups with 3,000 different languages continued to to survive. But of course, today, with population up to 1.5 billion, going to 2.5 billion in 2050, these ethnic groups now are pushing up against each other in a manner that they never have before. And they have to find ways of getting past these kind of visceral ethnic reactions that they sometimes have.

You mentioned something there that reminded me of what I wanted to ask you about export manufacturing in particular, which is, again, you think of

Africa. And as you said, it's just this huge amount of land, including some very, very remote tracks of land and nations, landlocked nations in the middle of the continent where it takes days and days and days to actually travel anywhere else. How much of a limitation is that on manufacturing for export? purposes in particular, especially since in a lot of these countries, we're talking about places that don't have a lot of infrastructure. And so I would imagine that some of your labor competitive edge starts to wear off once you start factoring in the need to put manufactured goods on a train for three weeks or something like that. Yeah. So just start by contextualizing the bigness of Africa. You can fit China, India, Europe, and the United States inside Africa. That's how big it is. It's crazy big. And then your question, I think, makes a lot of sense, so long as what we are thinking about is Africa exporting to other parts of the world. But my response to that would be that I think that a lot of export growth in Africa, most export growth in Africa, is going to come from exporting to other states within the African continent. And the data are beginning to show that the rate of growth of exports within the continent is already growing faster than to other parts of the world. It doesn't mean that Africa won't export to other parts of the world. It just kind of depends where you are.

on this huge continent. If you're up in North Africa, if you're in Morocco, and you're only 14 kilometers away from Europe, it makes sense to be exporting, which is why two of the biggest French car companies are making their cars there now, and Aerospace and other manufacturers that need to be close to Europe at low costs have gone there. To Morocco? To Morocco. There's a development called Tangier Med up there, just basically near the closest bit to Europe. And they've opened industrial parks. Not huge, but there's 100,000 plus people working in the industrial parks. They're doing cars and aerospace stuff and other things. Can you talk a little bit more about I think it was in your book that I saw or maybe it was something that was probably in your book Maybe it's something that I saw after reading it but like this phenomena that what makes Africa or what had made Africa unusual is that you didn't have this great landless peasant movement that there wasn't you know because in part of the stories of Asia it's like land reform right you have like some big transfer from wealthy land holders to the public and that in Africa that had never really been the issue. And that makes it a fundamentally different story. Can you talk a little bit

more about just this sort of weird reverberations that come from a underlying condition where land is just not a particularly scarce resource? Yeah, it's very un-Asian. So after the Second World War in East Asia, land was the most explosive issue because there just wasn't enough of it.

And that's why the Chinese Communist Party won control of the country largely by redistributing land and giving land to people who agreed to fight for the People's Liberation Army. And then why the United States reacted by supporting land reform programs in Japan and in Korea and in Taiwan. And even in the 70s, when the US was losing in Vietnam, sent people in to start doing land reform just before the just before the fall of Saigon, but it was too late. So that is demographics. And then the demographics of Africa, as we've been saying, is very sparse population. So everybody's got land. The only place that I'm aware of in Africa, in 55 countries that ever had any kind of land reform was, oh, well, it was Kenya. I suppose there was in the Highlands in Kenya, there was. But I was thinking of Zanzibar.

which was a very particular case because you had these kind of this sort of feudal Amani elite who owned all the land when it became independent. But no, that's been the case and there are still large parts of countries that have super abundant land. I mean, somewhere like Tanzania, there's still loads of land left. But because of population growth, there are other parts of the African continent where there is now some rising. land pressure, so around the Great Lakes, in the Ethiopian highlands, and some bits of West Africa as well. But yes, as you say, it's not been an issue, scarcity of land in Africa. The problem in Africa was scarcity of people. But there is still scarcity of assets that make the land viable as well, right? And the only reason I know that is because I read the chapter on Botswana where you talk about how there's loads of land, there's loads of cattle, but all the elites own the boreholes that produce the water for the cattle, and so you still end up with a very unequal economic society.

Yes, exactly. You can still get that. And there's a tendency all over Africa today as demand for food starts increases. As Africa has now had for 25 years, the fastest rate of the whole continent has had the fastest rate of agricultural growth in the world, just over 4%. There is the tendency for urban, urban wealthy people. You know, what I refer to as African Kulaks in

the book to buy up chunks of land or lease chunks of land and displace peasant farmers. So for the first time now in Africa, you're beginning to see a kind of land landless peasantry, something that has never existed before. Tracy, do you do you know what the the etymological root of the word Kulak is? No. Do you know Joe? I don't know, no.

It's good. Oh, you've stumped us. Yeah, it means fist as in they were perceived to be tight fisted. And so that they were like, yeah, that's like where that word came from. That's like the one thing I know about them. All right, last question for me. You know, like I've never been, I do want to travel to Africa, but it's a whole continent. I've never been particularly interested in the past because I'm not interested like going on, you know, seeing wild animals or something like that. I want to visit a city. I like to see how people live and how urban economies are happening, et cetera. Where would you recommend I buy a ticket to? I think you've got to see Lagos. It's just insane. I mean, just the people, the chaos.

I got my son a jersey from when we were in Madrid. I got my son a jersey from the team, AtlÃ©tico Madrid. And on the jersey, they're sponsored by the Rwanda Tourism Board. And on his jersey that he wears, it says, visit Rwanda. So would you recommend also Kigali Cho? Yeah, I mean that. then we'll blow your mind because it's about the cleanest city in the world. You know, Kagami sends people out on Saturday morning picking up litter. There isn't much litter to pick up, but I mean, you know, polishing the city. We haven't really talked about Rwanda much, but as we famously know, its president has talked about this country could be the Singapore of Africa and you obviously when you talk about yourself is very weak on you code right and so right when you mentioned the cleanliness aspect that's interesting where is rwanda on that trajectory and could you see a possibility where it's a tiny landlocked country.

unlike Singapore that has ports and stuff like that, but could it be the sort of like financial capital of Africa where that's the first stop for money, which then is invested elsewhere? I don't know that it will be. I mean, I don't think there'll be a single financial center for Africa. I think that's unlikely, but I think that Kigali can be one of them. you know they've done a very good job bringing in tech people they've done a very good job making it a

conference center they've done a very good job bringing in various multi multi lateral organizations to be headquartered there. And of course, what no one talks about is the fact that Kagame has expanded his country by essentially manipulating Eastern DRC, separating it from the rest of the DRC and running it as a sort of Rwandan colony, which is handy because it's got some pretty decent mineral reserves which all get run through Rwanda. I mean, the world has got a little bit more Tough in diplomatic terms on Kagami in the last sort of two three years, but not not very tough and Yeah, he he he plays an extraordinary But I think you know utterly ruthless. Oh Actually, this just reminded me, there's a through line between how Asia works and how Africa works. There's a bunch of them. But the other one we haven't talked about yet is the importance of finance and I guess directed lending to developmental projects. And it seems like Ronda in particular setting itself up as the sort of Singaporean model. I think they chose not to have capital controls at all. But talked to us a little bit about how finance plays out in all of this. And also, when you think about finance in developing economies, you might often think about corruption and the difference between a legitimate developmental loan to an upcoming company versus a crony of the president or something can sometimes be very narrow. But what's the importance of finance here and how are you thinking about it?

Okay, well, I mean, first on Rwanda, you're right. So Rwanda wants to be Singapore. So they are looking to have no capital controls so that money can freely come in and out because they want to get all money related to Eastern DRC money from other wealthy people who can feel secure about keeping it in Kigali. So they're not in a developmental game whereby they want to control their domestic finances for development. But that is what the tradition from East Asia is when you have a developmental state. One of the key things that you do is that you have capital control so that your domestic savings are locked down and your population can't decide to move its money to New York to get a better rate of return. The money stays at home. And then you have a banking system, and there are a number of ways in which it's successfully been done, but essentially you have a banking system which takes a lot of direction.

from government and also gets a bit of subsidy, fiscal subsidy as well to support it for losses that may be incurred in supporting industrial policy. So inevitably, money is very important. And I wouldn't say that things have changed much in terms of what you want to do if you are more of a developmental state. So I mean, I've been very intrigued by the reporting of Ethiopia over the last couple of years, which has been, I don't know on Bloomberg, but widely reported to have got rid of capital controls, which is completely untrue. They've basically moved to where China is, which as we all know, has capital controls. But they're open on the trade account so that investors in Ethiopia now know that they're foreign exchange, they can get it in and they can remit it to their ultimate owners.

However, across Africa, if we look across 55 countries, what we see is that most countries got rid of capital controls and they did so on the advice of the IMF and the World Bank. That means that then you get private banks that are interested to come in and invest and they go, oh, look, all these foreign banks have come and invested. That isn't that good. But what the private banks do that come and invest is basically just push out consumer credit. Okay, and it's not conducive to development of domestic industrial capacity just to have your banks lending people money to buy imported motorcycles. Joe Studwell, this is fascinating. We could go on for a very long time. It's a shame that it took us so long for us to get you on the podcast, but very fascinating new book, very fascinating new work. And I think something that maybe, you know, I feel as though So many of the stories we hear these days are just over and over again. China does this, AI does this, China trumped at this. I find it refreshing to hear this topic that I kind of feels unsight-geisty but also very interesting and important, so I really appreciate you taking your time. Thank you, see you guys. I thought that was super interesting. I thought it was like really, you know, look, you're talking about like...

It's just such a cliche. You have to mention Africa as a place just extraordinarily diverse and like there's no common geography or common anything. The point about like land abundance and labor sparsity as this sort of like defining aspect and then the way I hadn't really like put it together which is like if you can have the unfortunate you know tribes that are like totally separate. and then suddenly you draw a big square around them or

you're drawing shape around them and they have like no internal cohesiveness. You can understand how that creates this sort of like permanent political problem. Right. Well, the thing I find really interesting about Joe, the other Joe's argument is the population density aspect of it because that feels to me like something which is changing. You can see it in the numbers that it's starting to change. And if you do get more dense cities, I guess just more customers for potential goods produced within Africa, then that takes care of a lot of the manufacturing challenges that you could foresee. When you think about manufacturing, you think normally like, okay, we're gonna produce stuff cheaply and we're going to export it and then we're going to do the flying geese thing and then we're going to do the monkey swinging from the trees thing. And that's how we become a developed economy. But then as you were pointing out, development doesn't happen in a vacuum. You have huge competition from places like China. You also have a broad landscape globally of just people becoming more protective with their own trade, right? So that would be a massive challenge for a place like Africa. Again, not a monolith, but we're talking about it as such. But if the population density means that the domestic market actually increases, then that's a huge market. It could be a huge market. Totally. By the way, did you see the story, it didn't come up, that Morocco named a highway after President Trump?

Okay, so there's a story that it's like it's funny and they for whatever the reason there's a Trump highway and then I saw that several I saw several weeks later after that news there that there is an attempt to build a coastal East African natural gas pipeline that would go up through Morocco into Europe and this is the key bit that they're hoping to get financing from the American Export-Import Bank to build that. And suddenly I was like, oh, maybe I do get why you would want to name your highway after President Trump. But like, anyway, can I say one thing about Moroccan highways? I know you're a fan of Bucky's. Oh, yeah. Moroccan gas stations are amazing. I got to go. You would love them. And they actually have really, really good food and are extremely dependable and for the most part clean. But the food is the thing to go for. I really want to go. So, OK, we're going to do live odd lots.

at the Dengote, or you know, we'll take a tour of the Dengote Refinery. I'll go to Lagos with you. I haven't been, we should go. And great, we'll make that happen. All right, shall we leave it there? Let's leave it there. This has been another episode of the Odd Thoughts podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Joe Wasenthal. You can follow me at The Stull Word. Follow our guest, Joe Studwell. He's at Joe Studwell. Follow our producers, Kerman Rodriguez at Kerman, Armin Daschelbenet at DashBot, Kale Brooks at Kale Brooks, and Kevin Lozano at Kevin Lloyd Lozano. And for more OddLots content, you should check out our daily newsletter. You can find that at bloomberg.com forward slash oddlots. And you can chat about all of these topics 24-7 in our Discord, discord.gg slash oddlots. And if you liked this episode, if you want us to go on a trip to Lagos, then please leave us a positive review on your favorite podcast platform. And remember, if you are a Bloomberg subscriber, you can listen to all of our episodes absolutely ad-free. All you need to do is find the Bloomberg channel on Apple Podcasts and follow the instructions there.

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